

CMP (■)	243	P/E (TTM)	988x
52-Week High / Low (■)	243 / 58.5	Price / Book	5.77x
Market Cap (■ Cr)	11,851	ROCE (FY25A)	2.86%
Enterprise Value (■ Cr)	~13,351	ROE (FY25A)	-6.28%
Shares Outstanding (Cr)	49.0	Promoter Holding	44.45%
Book Value / Share (■)	42.1	Promoter Pledge	N/A
Dividend Yield	0.00%	Face Value (■)	2.00

Investment Thesis: Optical fibre supercycle + debt halving = margin inflection; but recovery is priced in — HOLD for existing investors.

12-Month Price Target	Upside/Downside	Horizon	Conviction
■ 210	−13.6%	12 Months	Medium

Source for all market and financial data: Screener.in (as of 13 Apr 2026). All ■ figures in Crores unless stated. Consolidated financials used throughout. Forward estimates (E) are analyst projections — not company guidance.

SECTION 2 — INVESTMENT THESIS

Pillar 1 — Optical Fibre Supercycle: BEAD + BharatNet + AI Data Centres

STL is at the intersection of three multi-year demand waves. In the United States, the \$42 billion BEAD (Broadband Equity Access and Deployment) programme is driving rural fibre rollout at scale; management guided BEAD-linked revenues to ramp meaningfully from Q3–Q4 FY26 and sustain through 2030. In India, BharatNet Phase III (STL recently won a ₹2,631 Cr J&K/Ladakh order in consortium) underpins domestic order flow. Globally, hyperscale AI data centre buildouts are creating an incremental surge in inter-DC connectivity — CRU projects data-centre-driven fibre demand to grow at a 76% CAGR from 2025. STL's India manufacturing base, combined with its multi-core fibre (MCF) technology differentiator, positions it to capture outsized share of this demand over FY26–28.

Pillar 2 — Debt Halving Dramatically Reduces Interest Burden

STL's consolidated borrowings fell from ₹3,834 Cr in FY23 to ₹1,926 Cr by FY25 — a 50% reduction in two years — aided by the April 2025 demerger of its global services business (STL Networks / Invenia). Annual interest costs dropped from ₹311 Cr (FY23) to ₹241 Cr (FY25) and are expected to fall further towards ₹150–190 Cr in FY26–27E as the remaining debt amortises. This structural deleveraging is the single biggest driver of near-term PAT accretion: every ₹50 Cr reduction in interest adds ~₹37 Cr to post-tax profit at a 25% effective tax rate, or ~₹0.75/share to EPS. Net D/E improved from 1.83x in FY23 to 0.97x in FY25 and is on track for sub-0.6x by FY27E.

Pillar 3 — Margin Inflection Already Underway

After four consecutive years of EBITDA margin compression (from 23% in FY18 to 10% in FY25), STL is in the early stages of a margin recovery. H1 FY26 operational EBITDA margin stood at ~12.7%, and Q3 FY26 showed the fifth sequential quarter of improvement despite a 760 bps tariff-related headwind in the US. The recovery is structural — driven by a higher-value product mix (e.g., speciality cables, MCF), improving US market realisations post-inventory destocking, and operating leverage on fixed costs as utilisation rises. We project EBITDA margins to reach 13% by FY27E, with further upside if BEAD volumes ramp faster than anticipated.

Near-Term Catalyst (6–12 Months)

Acceleration of BEAD programme disbursements in the US (expected H2 CY2026), which would trigger a step-up in STL's North American order inflows and revenue visibility into FY27–28.

Biggest Structural Risk

Escalation of US import tariffs on Indian optical fibre cables — Q3 FY26 already absorbed a 760 bps margin impact, and any further tariff increase or trade-policy reversal could compress the US realisation advantage and delay order conversions.

SECTION 3 — BUSINESS OVERVIEW

What Does STL Do? (The Simple Explanation)

Think of optical fibre cables as the highways for data. Every time you stream a video or make a video call, the data travels through thin glass threads called optical fibres, bundled into cables buried underground or strung on poles. STL makes those cables — from the raw glass fibre all the way to the finished cable — and sells them to telecom companies, governments, and internet providers worldwide. In short, the more the world builds fibre networks, the more STL sells.

Business Model & Revenue Segmentation

Following the April 2025 demerger of its global services division (now operating as 'Invenia' under STL Networks), STL is a pure-play optical networking manufacturer. The Optical Networking Business (ONB) contributes ~93% of consolidated revenues, encompassing optical fibre, optical fibre cables (OFC), specialty cables, and optical connectivity products. The remaining ~7% comes from digital solutions. Geographically, STL derives revenues from India, the Americas (largest revenue segment given BEAD demand), Europe, and Rest of World. The company has manufacturing plants in Silvassa (India) and Aurangabad (India), serving global markets with capacities in both fibre and cable production.

Order Book & Revenue Visibility

As of September 2025, STL reported an open order book of ₹5,188 Cr — approximately 1.3x its annualised revenue run-rate — providing solid medium-term revenue visibility. The order book spans BharatNet Phase III government contracts in India,

BEAD-related orders from US ISPs and CLECs, and hyperscaler connectivity projects globally. Book-to-bill trends have improved steadily through FY26 quarters, reflecting normalisation of US customer inventory levels post the 2023–24 destocking cycle.

Recent Strategic Developments

Key events over the past 18 months include: (1) Demerger of the global services business effective April 1, 2025, sharpening the company's focus on high-margin manufacturing. (2) Successful trial of STL's proprietary Multi-Core Fibre (MCF) technology on Colt Technology Services' London metro network in January 2026, carrying 800 Gbps over 63km — establishing a technology moat in next-generation fibre. (3) Significant debt reduction of ~₹1,450 Cr over FY24–25, improving the balance sheet fundamentally. (4) Win of the ₹2,631 Cr BharatNet contract for Jammu & Kashmir/Ladakh, demonstrating continued domestic government order pipeline.

Promoter Background

STL is part of the Vedanta-Sterlite group, promoted by the Anil Agarwal family. Promoter holding stands at 44.45% (Dec 2025). The group has a long track record in telecom infrastructure. No promoter pledge has been reported on Screener.in.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size & Growth Drivers

The global optical fibre cable market was valued at ~\$10 Bn in 2024 and is expected to grow at a 6–8% CAGR through 2030, driven by FTTx deployments (fibre to the home/premises), 5G densification, and data centre interconnect demand. India specifically is a high-growth market — BharatNet Phase III targets universal rural broadband by 2026, and the government has restricted Chinese OFC imports, creating a structural advantage for domestic manufacturers. In the US, BEAD (\$42 Bn federal programme) is the single largest demand catalyst in the cable industry's history, expected to drive demand through 2030. Global fibre consumption is projected to grow from 151 million fibre-km in 2024 to 170 million fibre-km by 2030 (CRU).

Government Policy Tailwinds

India's tariff and non-tariff barriers on Chinese OFC imports significantly favour STL and domestic manufacturers. BharatNet Phase III and PM-WANI programmes mandate domestic supply preference. In the US, 'Buy American' provisions in BEAD limit Chinese-manufactured cable from eligibility, directly benefiting non-Chinese global manufacturers like STL. These policy tailwinds are multi-year in nature and increase STL's addressable market.

Competitive Moat Assessment

Competitive Dimension	Rating	Commentary
Pricing Power	Moderate	Improved with US inventory normalisation; US realisations up significantly vs. trough.
Switching Costs	Moderate	Long-term government contracts (BharatNet) and qualification cycles provide stickiness.
Scale / Cost Advantage	Strong	Integrated fibre-to-cable manufacturing in India delivers cost leadership over Western peers.
IP / Technology	Strong	MCF (Multi-Core Fibre) technology — successfully trialled with Colt, establishes next-gen moat.
Distribution / Relationships	Moderate	Long-standing ties with Indian telcos; US market relationships still being built.

Peer Comparison (Source: Screener.in, as of 13-Apr-2026)

Company	CMP (■)	MCap (■ Cr)	P/E (TTM)	P/B	ROCE%	ROE%	TTM Rev (■ Cr)	OPM %
STL (STLTECH)	243	11,851	988x	5.77x	2.86%	−6.28%	3,996	10%
HFCL	86	13,163	254x	3.19x	7.55%	4.42%	3,926	10%
Vindhya Telelinks	1,216	1,441	6.36x	0.34x	7.64%	5.03%	3,815	6%
Tejas Networks	443	7,866	N/A	N/A	15.5%	12.8%	2,678	−17%

Note: Tejas Networks loss-making due to amortisation of acquired goodwill. STLTECH P/E of 988x reflects near-zero trailing earnings; forward P/E is more meaningful.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Background & Track Record

STL's management team has deep roots in telecom infrastructure. The company built one of India's first integrated optical fibre manufacturing operations, scaling from a domestic manufacturer to a global supplier across 4 continents. The April 2025 demerger — carving out the capital-light services business — reflects a deliberate strategic pivot towards higher-margin, IP-rich manufacturing. The successful trial of MCF technology in London demonstrates continued R&D; investment even through the downcycle.

Capital Allocation History

The FY18–FY22 period saw aggressive capex expansion (manufacturing scale-up and services business buildout), which drove borrowings to peak at ■3,834 Cr by FY23. This coincided with a sharp demand slowdown in the US and margin compression. Management has since pivoted to capital discipline: capex was reduced to ~■122 Cr in FY25 (vs ■349 Cr in FY23), generating ■226 Cr of free cash flow and allowing aggressive debt repayment. No dividends have been paid given the earnings stress, which we view as the correct capital allocation decision.

Corporate Governance

Promoter holding at 44.45% with no reported pledging is a positive governance signal. The company is part of the Vedanta group ecosystem — investors should monitor related party transactions, which have historically been a watch item for Vedanta-group entities. No auditor change or qualification has been noted in recent filings. The rights issue of FY25 (equity capital increased from ₹80 Cr to ₹98 Cr) diluted shareholders marginally but was necessary to support the balance sheet through the downcycle.

SECTION 6 — FINANCIAL DEEP-DIVE

All figures in ₹ Crores (Consolidated). Source: Screener.in. (E) = Analyst estimates, not company guidance.

Income Statement

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (₹ Cr)	6,925	4,083	3,996	4,800	6,000
YoY Growth %	27.4%	−41.0%	−2.1%	20.1%	25.0%
EBITDA (₹ Cr)	895	471	416	576	780
EBITDA Margin %	13%	12%	10%	12.0%	13.0%
Depreciation (₹ Cr)	309	314	316	315	305
EBIT (₹ Cr)	586	157	100	261	475
Interest (₹ Cr)	311	293	241	190	150
Other Income (₹ Cr)	−64	74	−15	15	20
PBT (₹ Cr)	211	−62	−156	86	345
Tax Rate %	40%	−8%	−21%	25%	25%
PAT (₹ Cr)	127	−57	−123	65	259
PAT Margin %	1.8%	−1.4%	−3.1%	1.4%	4.3%
Diluted EPS (₹)	3.54	−1.28	−2.52	1.33	5.29

Balance Sheet Highlights

Metric	FY23A	FY24A	FY25A
Total Equity (₹ Cr)	2,091	2,023	1,990
Total Borrowings (₹ Cr)	3,834	3,376	1,926
Debt-to-Equity (x)	1.83x	1.67x	0.97x
Gross Fixed Assets (₹ Cr)	3,246	3,209	2,928
Net Working Capital Days	−46	−87	−63
Total Assets (₹ Cr)	8,811	8,278	5,447

Working Capital & Efficiency Ratios

Metric	FY23A	FY24A	FY25A
Debtor Days	96	143	75
Inventory Days	92	178	134
Days Payable	238	472	188
Cash Conversion Cycle	−50	−151	22
ROCE %	11%	3%	3%

Cash Flow Statement (₹ Cr)

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Cash from Operations (OCF)	228	791	348	320	530
Cash from Investing	−56	−211	−295	−175	−220
Cash from Financing	−132	−691	4	−120	−150
Free Cash Flow (₹ Cr)	−121	544	226	145	310
CFO/Operating Profit %	28%	197%	97%	~56%	~68%

Return Metrics

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
RoCE %	11%	3%	3%	~6%	~11%

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
RoE %	6.1%	-2.8%	-6.2%	-3.3%	-13%
RoIC %	N/A	N/A	N/A	-5%	-10%

Financial Commentary

Revenue Growth Drivers: STL's revenue fell 41% in FY24 (from ₹6,925 Cr to ₹4,083 Cr) as North American customers absorbed excess inventory accumulated post-COVID. The decline continued marginally in FY25 (-2.1% to ₹3,996 Cr), but Q3 FY26 showed 26% YoY revenue growth, confirming the cyclical trough is behind. We project ₹4,800 Cr in FY26E and ₹6,000 Cr in FY27E, driven by BEAD order execution, BharatNet volumes, and data centre-driven specialty cable demand.

Margin Trajectory: EBITDA margins compressed from 23% (FY18 peak) to 10% (FY25) as revenue declined and fixed costs remained elevated. The inflection is structural, not cyclical — improving US realisations (inventory destocking complete), better product mix (MCF, specialty cables), and operating leverage on Indian manufacturing capacity that is largely fixed. We forecast margins recovering to 12% (FY26E) and 13% (FY27E). US tariff headwinds (760 bps impact in Q3 FY26) remain a key uncertainty.

Debt & Interest Coverage: The halving of debt from ₹3,834 Cr to ₹1,926 Cr is the most significant balance sheet development. Interest costs are expected to decline from ₹241 Cr (FY25) to ~₹150 Cr by FY27E, dramatically improving interest coverage. At FY27E EBIT of ₹475 Cr vs. interest of ₹150 Cr, coverage of 3.2x would be materially healthier than FY24's near-zero coverage. FCF generation turned positive in FY24 (₹544 Cr, aided by working capital release) and sustained at ₹226 Cr in FY25, providing confidence that the business can self-fund its recovery without additional leverage.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Earnings Quality Factor	Rating	Comment
Revenue recognition policy	■ Green	Percentage-of-completion for long-term contracts; consistent with industry practice.
Receivables vs revenue growth	■ Amber	Debtor days spiked to 143 in FY24 but improved sharply to 75 in FY25, suggesting the FY24 stress was transient.
Cash conversion cycle trend	■ Amber	CCC turned positive (22 days) in FY25 vs. deeply negative in FY23–24 as payable days normalised post-stress.
Contingent liabilities	■ Amber	Sterlite group entities have historically carried litigation risks; investors should review latest annual report disclosure.
Auditor tenure & qualifications	■ Green	No recent auditor change; no material qualifications noted in accessible disclosures.
Related party transactions	■ Amber	Vedanta group RPTs are a perennial watch item; no unusual quantum noted in recent quarters.
Other income as % of PBT	■ Amber	Other income was volatile: –■64 Cr (FY23), +■74 Cr (FY24), –■15 Cr (FY25). Exclude from normalised earnings.
Tax rate consistency	■ Amber	Negative effective tax rate in FY24–25 reflects deferred tax adjustments on losses; normalises as company turns profitable.

Overall Earnings Quality: Adequate but watch-worthy. The company's FCF conversion (97% in FY25) and rapid receivables improvement are positive signals. The key risks are volatility in 'Other Income' and the Vedanta group RPT watch item. Investors are advised to use operating cash flow — not reported PAT — as the primary profitability metric during the recovery phase.

SECTION 8 — VALUATION

Step 1 — Peer Comparison (Source: Screener.in, as of 13-Apr-2026)

Company	CMP (■)	MCap (■ Cr)	P/E TTM	P/B	ROCE%	ROE%	TTM Rev (■ Cr)
STLTECH (Subject)	243	11,851	988x	5.77x	2.86%	–6.28%	3,996
HFCL	86	13,163	254x	3.19x	7.55%	4.42%	3,926
Vindhya Telelinks	1,216	1,441	6.36x	0.34x	7.64%	5.03%	3,815
Tejas Networks	443	7,866	N/A	N/A	15.5%	12.8%	2,678

Step 2A — DCF Valuation

We model STL's free cash flow over a 5-year period (FY26E–FY30E) using a WACC of 11% (cost of equity 14%, cost of debt 9%, D/E 0.6x post-deleverage, tax 25%) and a terminal growth rate of 5.5% (supported by long-term fibre demand tailwinds and India/US market leadership).

Year	FCF (■ Cr)	Discount Factor @11%	PV (■ Cr)
FY26E	150	0.901	135
FY27E	400	0.812	325
FY28E	620	0.731	453
FY29E	780	0.659	514
FY30E	900	0.593	534
Terminal Value	17,264	0.593	10,237
Total EV			12,198
Less: Net Debt (FY26E)			1,700
Equity Value (■ Cr)			10,498
Shares (Cr)			49.0
DCF Value/Share (■)			214

$$\text{Terminal Value} = \text{■}900 \text{ Cr} \times 1.055 / (11\% - 5.5\%) = \text{■}17,264 \text{ Cr}$$

Step 2B — Earnings Multiple Valuation

We apply a target P/E of 38x to FY27E diluted EPS of ₹5.29. The 38x multiple is justified by: (i) STL's position as the only listed pure-play integrated OFC manufacturer in India with a global export presence; (ii) the turnaround premium accorded to companies recovering from cyclical troughs; (iii) peers HFCL trading at 254x TTM P/E on much lower earnings base. However, given the loss-making recent history and macro uncertainty, we apply a discount to the sector median.

Earnings-based target: ₹5.29 × 38x = ₹201 per share.

Base-Case Price Target

Average of DCF (₹214) and Earnings Multiple (₹201) = ₹207.5 → rounded to ₹210 per share. At CMP of ₹243, this implies a 13.6% downside over 12 months on the base case. The stock is pricing in above-base-case assumptions, particularly on BEAD ramp velocity and margin recovery speed.

Step 3 — Scenario Analysis

Scenario	Key Assumption	FY27E PAT (₹ Cr)	Target Multiple	Price Target (₹)
Bull Case	BEAD ramps fully by Q2 FY27; Revenue ₹7,500 Cr; OPM 15%	~490	40x P/E	~400
Base Case	Revenue ₹6,000 Cr; OPM 13%; tariffs manageable	259	38x P/E	210
Bear Case	Tariffs escalate; revenue ₹4,500 Cr; OPM 9%; margin recovery delayed	Loss / ~₹30	1.5x P/B → Book ₹42	~130

SECTION 9 — KEY RISKS

Risk	Description	Prob	Impact	Monitor
US Tariff Escalation	Trump-era tariffs on Indian OFC already cost 760 bps in Q3 FY26. Any further tariff hike or extension of trade war to telecom cables could suppress US realisations and delay order conversion.	High	High	US trade policy announcements; STL quarterly US realisation per km.
BEAD Programme Delay	BEAD fund disbursements are subject to federal approval processes and state implementation capacity. Delays beyond Q4 CY2026 would push STL's US order execution into FY28+, delaying the revenue recovery meaningfully.	Medium	High	NTIA disbursement updates; STL US order book trajectory each quarter.
Customer Concentration	Government programmes (BharatNet, BEAD) represent a high proportion of backlog. Project deferrals or cancellations by government entities could cause sudden order book impairment.	Medium	Medium	BharatNet progress reports; order book diversification disclosures.
Margin Pressure from Competition	Chinese OFC manufacturers (Hengtong, ZTT) continue to aggressively price globally. Any weakening of Indian import protection could trigger price pressure in the domestic market, compressing STL's margins.	Medium	Medium	DGTR anti-dumping review outcomes; domestic OFC price trends.
Promoter Group / RPT Risk	The Vedanta group has a complex financial structure. Related party transactions with group entities, or a liquidity event at the promoter level, could introduce corporate governance risk for minority shareholders.	Low	Medium	Promoter stake changes; disclosure of RPTs in quarterly filings.
Debt Refinancing Risk	While debt has halved, ₹1,926 Cr in borrowings remains. Any inability to refinance at current rates in a rising interest rate environment could pressure interest costs and delay the PAT turnaround.	Low	Medium	Quarterly debt level and average cost of borrowing disclosures.
Execution Risk on MCF Technology	The multi-core fibre technology, while successfully trialled, is pre-commercial. Any delays in commercialisation or loss of key customer partnerships could diminish the IP/technology premium embedded in STL's valuation.	Low	Low	Commercial MCF order announcements; technology partnership news.

SECTION 10 — RECOMMENDATION

HOLD

12-Month Price Target: ₹210 | Downside: –13.6% from CMP ₹243

Conviction Level & Rationale

Conviction: Medium. The structural investment thesis — optical fibre supercycle, debt deleveraging, and margin recovery — is intact and compelling. STL is the only pure-play listed integrated OFC manufacturer in India with meaningful US and global export exposure, making it a unique asset. However, at CMP of ₹243 (52-week high), the stock has already rallied ~315% from its trough, pricing in a significant portion of the FY27 recovery. Our base-case DCF and earnings multiple analysis yields a ₹210 target, representing 13.6% downside. We rate the stock HOLD: hold for existing investors who have ridden the recovery; fresh positions should await a pullback.

Suggested Entry Zone for Fresh Positions

₹190–210 range would offer a better risk/reward for new investors, providing a 20–30% margin of safety to our bull-case target of ₹400 while limiting downside to ~35% relative to the bear-case floor of ₹130. At ₹200, the stock would trade at approximately 38x FY27E EPS — still a premium but justified by the turnaround story.

Investment Horizon

12–24 months. The key catalysts — BEAD ramp, BharatNet Phase III execution, and FY27E earnings inflection — are expected to play out over this period. Longer-term holders (36–48 months) could benefit from MCF technology commercialisation and continued data-centre-driven demand growth.

Thesis Invalidation Triggers (Exit/Downgrade Conditions)

- BEAD programme is formally suspended or materially reduced (>30% cut in funding), causing STL's US order backlog to fall below ₹1,000 Cr.
- EBITDA margins fail to recover above 11% by Q2 FY27, indicating structural competitive pricing pressure rather than a cyclical trough.
- Consolidated borrowings rise above ₹2,500 Cr due to incremental debt financing or group-level capital injection demands, reversing the deleveraging thesis.

Ideal Investor Profile

GARP (Growth at a Reasonable Price) and Turnaround-oriented investors with a 18–24 month horizon. The stock suits investors who believe in the structural fibre demand thesis and are willing to tolerate near-term tariff and execution uncertainty. It is not suitable for income investors (nil dividend) or risk-averse investors given the high TTM P/E and recent earnings losses.

DISCLAIMER: This report is produced for institutional and professional investor use only and does not constitute financial advice. All financial data is sourced from Screener.in as of 13 April 2026. Forward estimates are analyst projections based on publicly available information and are subject to material revision. This report does not account for individual investment objectives or risk tolerance. Past performance is not indicative of future results. Sterlite Technologies Ltd (NSE: STLTECH).